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HOW CORPORATE GOVERNANCE SHAPES A PETROLEUM COMPANY IN JUBA CITY

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ABSTRACT:

This study examines the relationship between corporate governance and financial performance in Pacific Petroleum Company, Munuki, Juba City. It focuses on three key governance mechanisms: board composition, management accountability, and transparency and disclosure practices. A descriptive research design with a quantitative approach was adopted. Data were collected through structured questionnaires from 120 respondents, including management staff, finance officers, and board members, using simple random and purposive sampling. The data were analysed using SPSS and presented through tables, charts, and graphs. The findings indicate that effective board oversight, strong management accountability, and transparent financial reporting positively influence profitability and cost efficiency. However, inadequate board independence and weak internal controls negatively affect financial performance. The study concludes that effective corporate governance is essential for improving financial performance, strengthening investor confidence, and ensuring the long-term sustainability of petroleum companies in Juba City.

Keywords: Corporate Governance; Financial Performance; Board Composition; Management Accountability; Transparency and Disclosure

CHAPTER ONE: INTRODUCTION

1.1 Background to the Problem

Corporate governance referred to the structures, processes, and practices that directed and controlled organizations, ensuring accountability, fairness, and transparency in a company's relationship with its stakeholders. The petroleum sector is complex, capital intensive and the impact of its operations is significant on the economy of the countries operating in the sector, therefore, effective corporate governance was fundamental in determining its financial performance. Transparency and accountability in financial governance through effective structures resulted in higher efficiency and profitability, and sustainability. Petroleum companies were functioning under different institutional conditions, legal systems, and economic policies in various regions of the world. In view of the positive impact of good corporate governance on investments, financial risks and responsible corporate decision-making (Shleifer & Vishny, 1997), this study looked at the impact of good corporate governance on the financial performance of the petroleum companies in Juba, and investigated the good governance practices in the various continents. In North America, corporate governance in the petroleum industry was tightly regulated and robust protections were in place for shareholders. Norway and the United Kingdom, for example, had financial stability policies in place for their petroleum companies, including Equion. A strong corporate governance framework for petroleum companies was associated with improved financial results in the United States. Research showed that firms with independent and diverse boards and strong internal controls were more likely to have positive financial results. In the African context, it was discovered that the number of board members and independence in the firm has a positive effect on the profitability of the firms, thus making it clear that good corporate governance is not an option in the petroleum sector in Nigeria, Africa's largest oil producing nation. Governance improvement, however, was supposed to improve the financial performance of the petroleum sector through the Petroleum Industry Act (PIA) of 2021, which includes restructuring governance institutions and increasing transparency. In Ghana, the effective implementation of the corporate governance practices has been found to improve financial performance of the petroleum industry. Ghana, in contrast to many other African countries, adopted governance policies aimed at transparency, accountability and regulatory compliance (Ackah, 2015).

The governance structure of South Sudan's petroleum sector was largely shaped by state control and regulatory policies. The country's oil industry was managed by the Ministry of Petroleum in collaboration with the Nile Petroleum Corporation (Nile pet), the national oil company. While these institutions were tasked with overseeing financial and operational transparency, reports indicated that weak governance mechanisms led to financial mismanagement, revenue leakages, and inefficiencies in petroleum revenue utilization (International Crisis Group, 2015). In addition, corruption and limited financial transparency hindered the financial performance of petroleum companies in Juba. Several reports highlighted the misappropriation of oil revenues, lack of accountability in financial reporting, and inadequate regulatory enforcement (Global Witness, 2018). For instance, mismanagement within Nile pet resulted in financial instability, reducing its capacity to operate efficiently and generate sustainable profits. Strengthening governance mechanisms through improved financial oversight and regulatory enforcement was crucial for enhancing financial performance in South Sudan's petroleum sector, recent efforts have been undertaken despite these challenges were made to improve the way a company is run and overseen in South Sudan's petroleum industry. The government introduced measures among them the Petroleum Revenue Management Act to enhance financial transparency and accountability in the sector (African Development Bank, 2021). These reforms aimed to strengthen governance structures and ensure that petroleum revenues were effectively managed to promote financial stability. However, continuous

enforcement of governance policies and institutional reforms remained necessary to achieve long-term improvements in financial performance.

1.2 Statement of the Problem

Corporate governance played a critical role in determining the financial success and the future of companies. At the global level, good corporate governance practices were linked to better financial performance via the increased transparency, accountability, and strategic decision making. In countries still establishing their framework (in particular South Sudan), however, corporate governance structures were weak, fragmented and not always applied. This fact gave occasion for worry over the negative effect of bad governance on the financial performance in sectors like petroleum. However, in Juba, where the petroleum companies were located in a highly complex post-conflict market, problems of weak board oversight and disclosure, inadequate internal controls, and regulatory inefficiencies remained. These governance deficits have led to problems such as financial mismanagement, investor confidence and underperformance. Though petroleum is important to the South Sudan economy, there has been little research to examine the impact of governance mechanisms on the profitability of petroleum firms. This gap is what inspired this study to investigate the specific-the relationship between the mode of operations of a company and its financial performance of the petroleum companies in Juba.

Despite the value of petroleum to South Sudan's economy, very little research has looked into how governance mechanisms influence the financial health of companies in this sector. This gap is what motivated this study to examine the specific the connection between how a company is governed and how it performs financially of petroleum companies in Juba. It aimed to close the knowledge gap by evaluating how... connects to governance practices such as board structure, accountability, risk management, and compliance and key financial performance indicators. The findings helped stakeholders identify strengths and weaknesses in governance structures and in addition, the study proposed strategies for improving financial outcomes. Ultimately, the research aimed to contribute to improved corporate transparency and economic growth in South Sudan's vital petroleum sector.

1.3 Research Question

In what ways does corporate governance influence the financial performance of petroleum companies in Juba?

To what extent do corporate governance practices influence risk management and regulatory compliance in petroleum companies operating in Juba?

What are the challenges in implementing corporate governance frameworks in petroleum companies in Juba?

What solution could be employed to curb the challenges faced in implementing corporate governance frameworks in petroleum companies in Juba?

1.4 Significance

This research is significant in that it offers valuable a better understanding of what corporate governance does to financial outcome in petroleum companies in Juba. By analyzing governance structures and financial outcomes, the study contributed to a deeper understanding of the part corporate governance plays in determining profitability, financial stability, and operational efficiency in the petroleum sector. The study also assisted policymakers in formulating effective regulatory frameworks to enhance corporate governance in the petroleum industry. Furthermore, the research highlighted governance gaps and recommended policy measures to strengthen regulatory oversight, transparency, and accountability in petroleum companies operating in Juba.

The study helped petroleum companies by highlighting effective corporate governance practices that can enhance their financial performance. Companies were able to apply study's findings to adopt governance strategies that enhanced financial management, risk mitigation, and the company's overall wellbeing sustainability. The findings also added valuable insights to what has already been written about how companies are governed and financial performance, especially in economies that rely heavily on natural resources.

This study served as a reference for future research, expanding our understanding of governance challenges and solutions within the petroleum sector in South Sudan and similar economies. Additionally, the study gave useful guidance for investors looking to appreciate the role corporate governance plays in financial stability in the petroleum industry. By examining governance practices alongside financial outcomes, it enabled investors to make more informed decisions about investing in Juba's petroleum sector. The study offered recommendations to corporate leaders and boards of directors on strengthening governance structures for better financial performance. The research provided practical suggestions on improving board effectiveness, internal controls, and corporate accountability to enhance financial sustainability in petroleum companies.

1.5 Scope and Delimitation

This research examined what corporate governance does to the financial performance of petroleum companies in Juba, South Sudan. The study was conducted in Juba, the capital city of South Sudan, located in Central Equatoria State.

The participants in this study, the scope included, but was not limited to, board members, executive managers, financial officers, compliance managers, and other relevant staff involved in governance and financial operations within petroleum companies such as Pacific Petroleum Co. Ltd and others operating within Juba. Financial limitations, restricted access to sensitive corporate data, and time constraints impacted the depth of data collection and analysis.

Theoretical Framework

Agency Theory

Agency Theory, developed by Michael C. Jensen and William H. Meckling in 1976, examines the relationship between principals (owners or shareholders) and agents (managers) in a business. The theory assumed that agents were likely to act for their own benefit rather than those of the principals unless proper governance mechanisms were in place. It emphasized the need for aligning interests between owners and managers to reduce conflicts and improve organizational efficiency.

Relevance to the Theory

Thinking about how governance works in practice and financial performance particularly in petroleum companies in Juba agency theory provides an important lens for understanding how governance structures such

as boards of directors, performance-based incentives, and transparency mechanisms minimized agency problems. In petroleum companies, where ownership and management were often separated, ensuring that managers acted for the good of the owner shareholders was crucial for improving financial performance. Drawing on this framework of agency theory guided governance reforms and helped improve profitability, accountability, and strategic decision-making within such firms.

Strengths

Focus on Accountability. The theory highlighted the importance of accountability mechanisms such as audits, board oversight, and performance contracts, which were central to good corporate governance, **Encouraged Transparency.** It promoted transparency through information disclosure and reporting practices, which built investor confidence and trust, **Improved Efficiency.** When properly applied, the theory led to efficient decision-making by minimizing managerial self-interest and aligning it with organizational goals.

Weaknesses

Assumed Rational Behavior. The theory often assumed all actors were rational and self-interested, ignoring emotional, ethical, or social motivations that might have influenced decision-making, **Overemphasized Conflict.** It tended to overemphasize conflict between owners and managers without fully considering trust and collaboration, **Limited in Complex Structures** In organizations with complex stakeholder structures or in non-profit/public sectors, the principal-agent model did not fully apply or explain dynamics

1.6 Conceptual Framework Figure

conceptual framework

INDEPENDENT VARIABLE

DEPENDENT VARIABLE

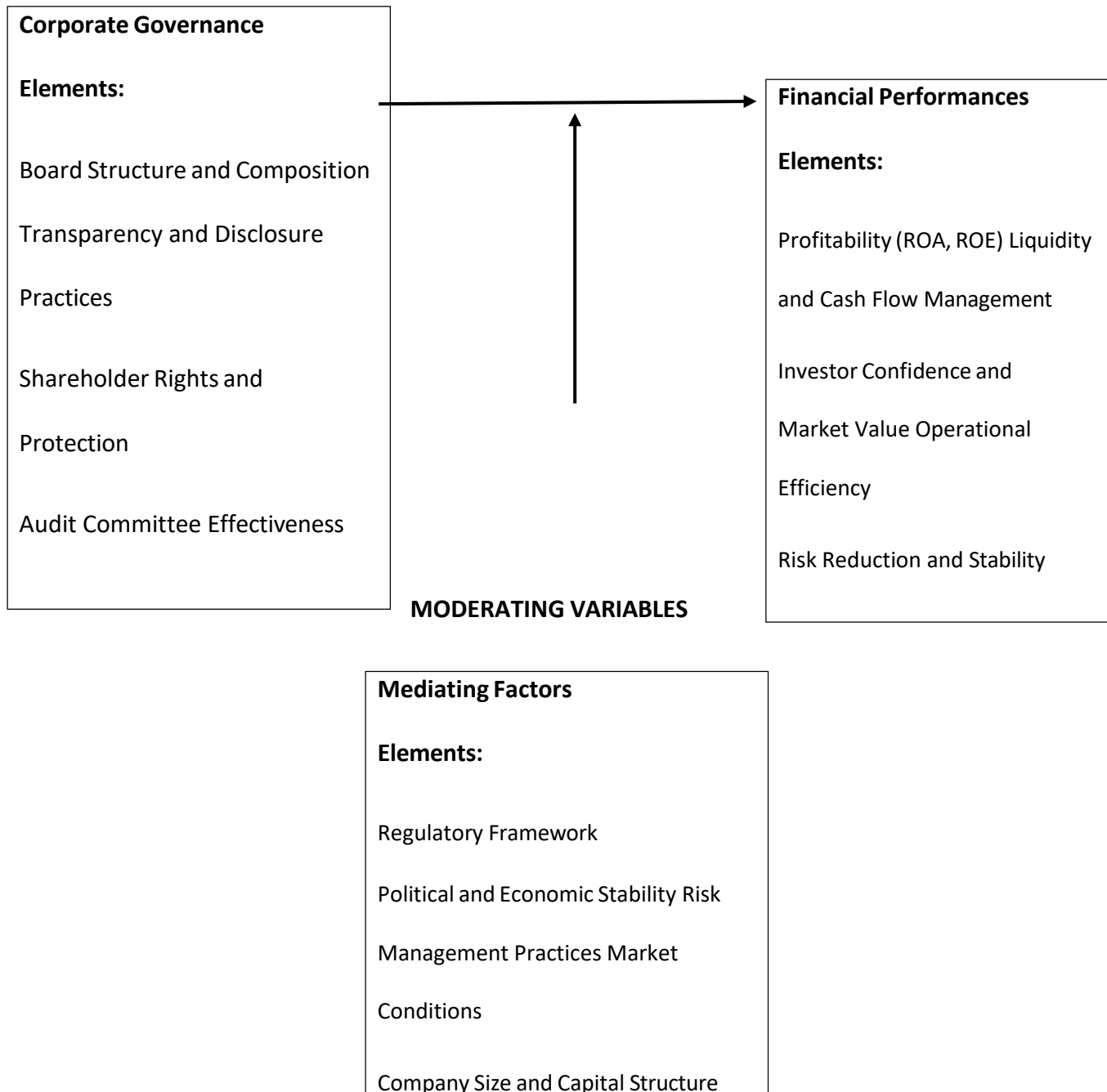


Figure 1.0: conceptual framework Source: Research 2026.

The conceptual framework explained how the key variables in the study are related. The independent variable was corporate governance, which directly influenced the dependent variable financial performance. Intervening variables included factors such as the regulatory framework, political stability, and economic stability. These intervening variables influenced the dependent variable by affecting how effectively corporate governance was implemented. For example, a strong regulatory framework strengthened the impact on financial performance by ensuring compliance and accountability. Political instability, on the other hand, weakened this relationship by disrupting decision-making processes. Similarly, economic stability supported better financial outcomes by creating a favorable environment for governance practices to succeed.

1.7 Operational Definition of Terms

Corporate Governance: A system through the way organisations are led and controlled, focusing on accountability, transparency, and oversight mechanisms.

Governance: The process or method of governing an organization, including the structures and practices through which an organization is directed its operations.

Performance: The execution or accomplishment of tasks and responsibilities, often measured against predetermined standards or objectives.

Petroleum Companies: Firms engaged in the exploration, extraction, refining, marketing, and distribution of petroleum and related products.

Risk Management: The process of identifying, assessing, and mitigating financial and operational risks to minimize their impact on an organization.

Financial Performance: The evaluation of how effectively a company utilizes its assets and operations to generate revenue, profits, and value for stakeholders.

CHAPTER TWO

2.0 REVIEW OF RELATED LITERATURE

2.1 Introduction

This chapter presented related literature on the effects of bank interest rates on small-scale business loan borrowing in Juba. It included a literature review of relevant theories, empirical studies consistent with every research question, a summary of findings and identification of gaps in knowledge that the study attempted to fill. Review of the Theories Resource Dependency Theory Resource Dependency Theory (Salancik and Pfeffer 1978) stated that organizations need to depend on external resources to keep them alive and governance mechanisms (boarding members) were established to ensure access to essential resources like funding and expertise and market opportunities. Relevance to the Theory: In the case of petroleum companies in Juba, good corporate governance attracted investors, secured funding and enabled companies to avail themselves of resources provided by the regulatory authorities which were essential to sustaining financial performance in a

fragile economic environment. The theory underpinned the study, as it supported an understanding of governance being a strategic method to survival and growth. Emphasised the notion that organisations rely on external resources, and that the strategic role of corporate governance is to manage external pressures and to acquire critical resources. It described why such alliances were created by companies, board members were appointed to be influential or stakeholders engaged in order to lower the uncertainty and boost performance, particularly in the petroleum industry where regulation, funding, and political backing were important. The theory mainly emphasized external relationships and often ignored internal governance factors such as management quality, board independence, or internal controls. It also assumed that firms always acted rationally to manage dependencies, which did not always hold true in politically unstable or weakly regulated environments like South Sudan.

Stakeholder Theory

Stakeholder Theory, proposed by Edward Freeman (1984), suggested that Organizations should not focus solely on maximizing shareholder value; they should also consider the interests of all stakeholders, including employees, customers, suppliers, the government, and the wider community. This perspective emphasizes that effective governance involves balancing these interests. The theory highlights that good governance practices help ensure long-term sustainability and improved performance.

Relevance to the theory

Broader Governance Impact: In the petroleum sector, companies interacted with many stakeholders (e.g., governments, local communities, environmental groups). Governance structures that considered these diverse interests improved corporate reputation, risk management, and financial outcomes.

Strengths:

Holistic Approach. The theory acknowledged the complexity of business environments by including multiple stakeholder interests, leading to more socially responsible and ethical decision-making, Enhanced **Reputation and Trust:** By addressing stakeholder concerns, companies improved their public image and built stronger relationships, which often resulted in better risk management and financial performance, **Long-term Focus.** The approach encouraged firms to look beyond short-term profits, fostering sustainable business practices that benefited all parties, **Conflict Reduction.** Considering diverse interests helped reduce conflicts and promoted cooperation among stakeholders, which enhanced organizational stability.

Weaknesses:

Implementation Complexity: Managing and balancing multiple stakeholder interests proved challenging and sometimes conflicting, making decision-making more complex, **Lack of Clear Prioritization.** The theory did not clearly specify how to prioritize stakeholders when their interests clashed, potentially leading to confusion or inconsistent governance, **Risk of Diluting Accountability.** By broadening focus beyond shareholders, companies sometimes struggled to maintain clear accountability and measurable performance targets, **Potential for Managerial Opportunism,** Managers could use stakeholder interests as a justification making decisions that prioritize their own interests instead of those of the company or its shareholders

2.3.1 The impact of corporate governance on the financial performance of petroleum companies

In Malaysia, Abdul Latif et al. (2022) set out to understand what governance attributes mean for financial performance in the oil and gas industry. The researchers took a numbers-based approach, building their analysis on data sourced from the annual reports of listed companies. Using regression analysis, the study found that risk disclosure and audit committee effectiveness significantly impacted firm performance. The authors recommended enhancing audit committee functions to improve financial outcomes. The study concluded that strong corporate governance mechanisms are essential for achieving financial success in the oil and gas sector. While this study provided valuable insights, it primarily focused on Malaysian firms, leaving However, there remains a gap in understanding how these governance mechanisms influence financial performance in developing, post-conflict settings like South Sudan. Specifically, there was an absence of empirical evidence on how well corporate governance actually work structures within the petroleum sector in Juba, where political, regulatory, and economic conditions differed significantly from those in Malaysia. This knowledge gap highlighted the need for context-specific studies that explored how governance practices impacted financial performance in fragile economies reliant on extractive industries. Mpora et al. (2025) investigated the difference corporate governance makes to performance of financial institutions in Uganda. The cross-sectional study targeted 1,229 registered financial institutions, gathering data from" 400 respondents selected through stratified random sampling

Data were collected through questionnaires and analyzed using Pearson correlation. Findings showed a clear and meaningful link between how companies are governed and how well they perform ($r = .649$; $p < 0.01$). The study recommended that prioritizing corporate governance strategies to enhance growth and attract foreign investment. The conclusion emphasized the mutual reinforcement between the way a company is run and its financial results.

However, there was a scarcity of region-specific studies that analyzed the nuanced connection between corporate governance and financial performance in African petroleum companies, considering the unique socio-economic and political landscapes. This left a gap in understanding how such governance principles influence outcomes such governance principles functioned in emerging economies like South Sudan, where regulatory enforcement, political influence, and institutional maturity differed significantly, this study addressed that gap by examining how corporate governance structures particularly board composition, ownership patterns, and stakeholder engagement affected the financial performance of petroleum companies operating in Juba. Through this localized focus, the research aimed to contribute practical insights for enhancing governance and financial sustainability in South Sudan's oil sector. The literature was sparse. One notable study by Wichar(2018) examined internal controls and financial performance in Sudd Petroleum Operating Company. The findings indicated that inadequate budgeting and asset management practices adversely affected financial outcomes. However, the study concentrated largely on internal controls without a broader analysis of corporate governance structures. There was a significant gap in empirical research that comprehensively examined how corporate governance frameworks—encompassing board composition, ownership structures, and stakeholder engagement—impacted the financial performance of petroleum companies in Juba. Addressing this gap was essential for developing context-specific governance solutions tailored to fragile economies like South Sudan. where regulatory enforcement, political influence, and institutional maturity differed significantly. There was a need for localized studies that examined how these

governance elements influenced financial outcomes within South Sudan's petroleum sector, especially given the country's post-conflict business environment and limited governance capacity.

2.3.2 Influence of Corporate Governance Practices on Risk Management and Compliance in Petroleum Companies

Hartono et al. (2023) The investigation explored factors influencing how governance is actually carried out in Indonesia using Structural Equation Modelling (SEM) focused on private and state-owned companies in the East Kalimantan Industrial Estate. Findings revealed that organizational structure and the national cultural environment significantly influenced corporate governance implementation, which in turn affected risk management practices, the authors recommended tailoring governance frameworks to align with organizational and cultural contexts to enhance compliance and risk mitigation. The study concluded that a clear understanding of both internal and external factors is essential for effective implementation of corporate governance, while The study provided valuable insights into how corporate governance positively influences risk management and compliance, it(2018) examined internal controls and financial performance in Sudd Petroleum Operating Company

CHAPTER THREE

3.0 RESEARCH DESIGN AND METHODOLOGY

Introduction

This chapter sets out the decisions made about how the research was conducted. It also shows the research instruments used, along with the methods for ensuring their validity and reliability. In addition, the chapter explains the data collection and analysis procedures, as well as the ethical considerations followed in the study

3.1 Research Design

Every study needs a clear plan for how it will be carried out a framework that brings all the different parts together in a way that makes sense and keeps the research focused on the right problem. Creswell (2016) describes this as a research design, and getting it right is what determines whether a study can actually answer the questions it sets out to address. For this study, a quantitative research design was the most appropriate choice. The central aim was to understand how corporate governance mechanisms connect to the financial performance of petroleum companies in Juba, and a quantitative approach provided the structure needed to do that rigorously. By collecting numerical data through structured questionnaires and subjecting it to objective statistical analysis, the study was able to identify patterns, measure relationships, and draw conclusions that are grounded in evidence rather than impression. This kind of design is particularly well suited to studies that are looking for connections between variables which is precisely what this research set out to find.

3.2 Research Methodology

The research methodology referred to the systematic procedures and strategies used to collect, analyze, and interpret data with the aim of answer research questions. This work relied on a quantitative methodology to understand what corporate governance does to the financial performance of petroleum companies operating in Juba. Data were collected using structured questionnaires administered to company managers, finance officers, and personnel responsible for corporate governance. The methodology involved defining the target population, establishing the sampling procedures, and detailing the data collection process instruments, and analysis techniques. Statistical tools These methods were employed to interpret the data and draw valid conclusions regarding what corporate governance does to practices influenced financial performance.

3.3 Target Population

According to Kumar (2017), a target population referred to the complete set of individuals, cases, or elements sharing common observable characteristics to which the researcher intends to generalize the findings of the study. In this study, Pacific Petroleum Ltd served as a representative example of petroleum firms operating in post-conflict economies, where governance structures faced unique operational and regulatory challenges. The study included all employees and senior management of Pacific Petroleum Ltd in Juba, South Sudan. These included individuals who were directly involved in or indirectly involved in corporate governance functions and financial decision-making processes. The respondents were selected based on their direct experience in the relevant areas which allowed for the collection of reliable and context-specific data regarding the difference corporate governance makes on financial performance.

Sample Size

According to McDaniel and Gates (2016) A sample refers to a smaller group of a population selected to represent the whole group. The target population for this study was made up of 120 employees and managers from petroleum companies in Juba, South Sudan. A mixed sampling strategy was used, combining different sampling methods probability sampling for the quantitative strand. This method helped ensure that both groups were fairly included statistical representation and meaningful insights were achieved

Using Krejcie and Morgan's (1970) A target population was identified using a sample size determination table. 125 corresponded resulting in a recommended sample size of 120 respondents.

Sampling Procedure

According to Kothari (2024), a sampling procedure is the technique orA sampling method refers to the technique used by a researcher to select elements from a population in such a way that the sample represents the entire group. The aim is to understand the whole population by examining a subset of it. In this research, probability sampling specifically stratified random sampling was used to select participants for the quantitative phase, ensuring that respondents from different departments were adequately represented (e.g., finance, operations, administration) were proportionally represented.

3.4 Description of Data Collection Instrument

Data collection instruments are the tools used by a researcher to gather data from participants in order to answer research questions and achieve the goals of the research. As stated by Orodho (2009), Research instruments are tools used to collect data and information measure variables important in a study, such as questionnaires, interview guides, and observation checklists. In this study, two main instruments were used: questionnaires and interview guides.

Questionnaire

A structured questionnaire was used for data collection research instrument consisting of a series of questions designed to collect standardized data from respondents. This helped the researcher to gather quantitative information effectively and systematically from a big group. The strength of questionnaires lay in their cost-effectiveness, ease of comparison across respondents, and ability to gather data that could be statistically analysed. However, questionnaires limited the depth of responses as they relied on pre-set questions and answers, and the quality of data depended on respondents' honesty and understanding despite these limitations, questionnaires were suitable for this study because they provided a consistent manner to measure corporate governance practices and financial results indicators among employees at Pacific Petroleum Company. When combined with interview guides, this approach enhanced the validity and richness of the findings. This approach was appropriate because it enabled the study to maintain a balance between quantitative data with qualitative insights.

3.5 Measurement of This section discusses the accuracy and consistency of the research instruments used in the research

A credibility of the study findings largely depended on the reliability of the data collection instruments used. According to Babbie (2020), a well-constructed instrument should be tested for Both validity and reliability were ensured so that the data collected accurately reflected the reality of the phenomenon being studied. Similarly, Saunders et al. (2019) emphasized that a valid and reliable instrument was essential for obtaining meaningful and generalizable research results, mainly in the social sciences.

Validity

Validity refers to the degree to which an instrument accurately measures what it is designed to measure. intended to measure. As explained by John W. Creswell and J. David Creswell (2018), A research instrument is considered valid if it accurately measures the concept it is intended to study. In this study, the questionnaire and interview guide were designed to measure corporate the study examined governance activities and how they influence financial performance at Pacific Petroleum Company in Juba. To ensure content validity, the instruments were reviewed by experts and pilot-tested among a small group of respondents from the petroleum sector who were not included in the main study sample. This helped confirm the clarity, relevance, and appropriateness of the questions before full data collection began.

Reliability

Reliability means the consistency of a research instrument in producing stable and uniform results over time. According to Mugenda and Mugenda, (2016) a reliable tool provides consistent outcomes when applied more than once administered repeatedly under similar condition. In this research, reliability was evaluated

using Cronbach's Alpha coefficient to ensure that the questionnaire was internally consistent items. A reliability threshold of 0.7 and above was considered acceptable. This was crucial in helping to ensure that the collected data on governance practices and financial performance were consistent and trustworthy was consistent and dependable and reproducible

3.6 Description during Data Collection Procedures

The process of collecting data for this study titled "The Effects of Corporate Governance on Financial Performance of Petroleum Companies in Juba" followed a systematic and ethical approach. First, once permission was granted, the researcher scheduled visits to the company premises and distributed questionnaires to key employees, including finance officers, compliance managers, and board secretaries. The questionnaires were self-administered and supplemented with face-to-face interviews to gain deeper insights on governance structures and financial outcomes.

The process of data collection was carried out over a two-week period. The researcher ensured respondents understood the aims of the study, guaranteed confidentiality, and emphasized voluntary participation. Collected data were securely stored and used strictly for academic purposes. This procedure ensured that accurate and context-specific data were gathered to assess how governance practices influenced financial performance in the study area Juba's petroleum sector.

3.7 Description of Methods of Data Analysis

Data Interpretation involved quantitative methods to ensure comprehensive evaluation of the finding. According to Orodho (2018), Data analysis is the process of reviewing data in order to identify patterns and make informed decisions

Numerical Data Analysis

Summary statistics such as frequencies, percentages, and means were used to present the responses, particularly on governance practices, board effectiveness, and financial indicators like profitability and liquidity.

3.8 Ethical Guidelines

Research ethics played a key role in conducting research involving human participants. This study adhered to established ethical principles to ensure the rights, dignity, and welfare of all participants were protected. The key ethical aspects addressed included

Participant Consent

Participant Consent was a key ethical requirement in this research. Participants were given clear and comprehensive information about the aim of the study, how it would be conducted, and any possible risks and benefits involved. They were made aware of their right to decline participation or leave the study at any stage without facing any consequences. Consent forms were distributed and explained to ensure participants fully understood the research before agreeing to partake. This process aligned with the principle of respect for persons, as outlined in the Belmont Report, which emphasized the necessity of voluntary participation and informed decision-making.

CHAPTER FOUR

4.0 PRESENTATION, DISCUSSION AND ANALYSIS OF RESULTS

4.1 Let's begin with a brief introduction Introduction

This chapter presented the results of the research project. The chapter was divided into five sections and the first section looked at the demographic information of the respondents, the second section looked at the role of corporate governance in shaping financial performance, the third section looked at the influence of Risk Management and Compliance, the fourth section looked at the challenges in implementing Corporate governance and last section looked at Solutions to governance challenges in implementing the framework in petroleum company. The findings from all these sections contributed to the writing of the chapter five especially Overview of the main findings and conclusions.

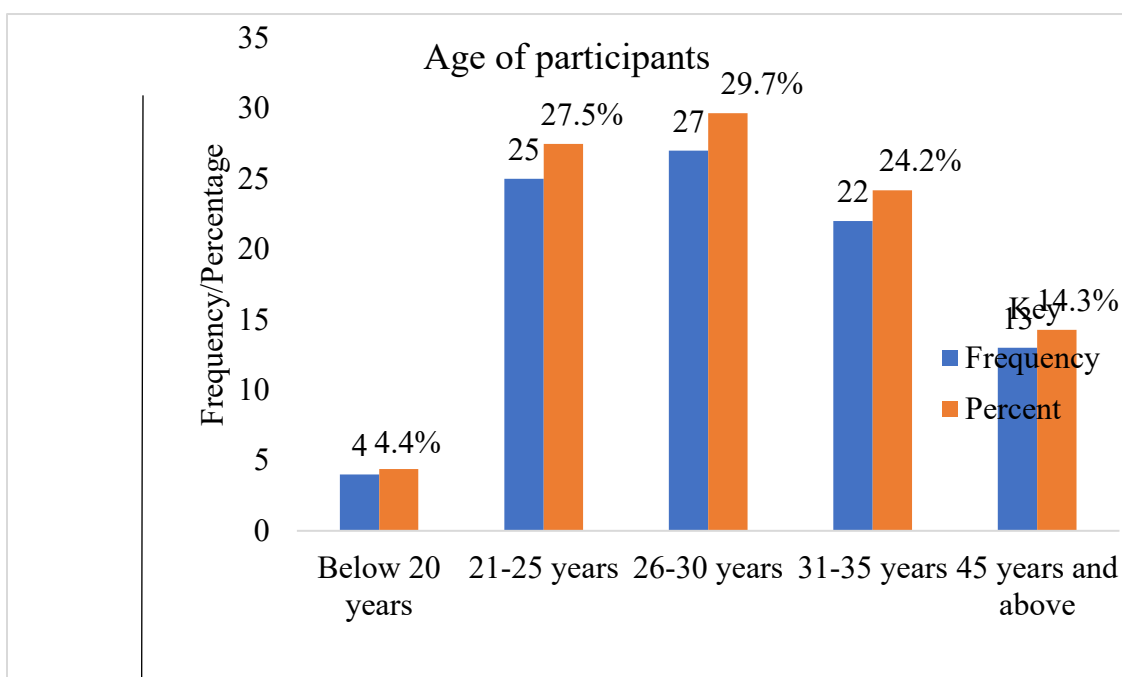
Table 4.1 Showing the questionnaire rate of return

Initial sample		Return		Missing		Total	
F	%	F	%	F	%	F	%
100	100	80	80	20	20	100	100

Source: Primary data

From table 4.1 Shown that 80% of the questionnaires were collected successfully by the study from the respondents. This made that the researcher put more efforts To help increase than 80% of the distributed questionnaires were returned back from the respondents from 120 questionnaires distributed. It also implies that 20% questionnaires were missing since the sample for the study is 120, 120 questionnaires were distributed and 80 were collected back successfully from the respondents. All this institutes to 100% questionnaires distributed to the respondents for data collection during the data gathering. This shows that data collected were dependable since majority 80% of the questionnaires were collected back. The missing questionnaires were because 20 respondents were unable to return since they were busy with their work and that made it impossible for the researcher to collect back the questionnaires. The researcher concluded that, the data collected were realities of the impact of corporate governance on the financial performance of petroleum companies in Juba.

Figure 4.2.1 Showing the Age of participants



Source: Primary data

Figure 4.2.1 Indicated That most participants 29.7% ranged between the ages of 26 – 30 years. Many 27.5% of the respondents ranged between the ages of 21–25 years old. Further 24.2% of the participants were between 31–35 years old, 14.3% ranged from 45 years and above and 4.4% were ranged below 20 years. The researcher determined that most of the respondents for the research were youths between the age 26 and 30 years old. Therefore, the age of the respondents was important in the study since it communicates the maturity among respondents in understanding the effects of bank interest rates on small-scale businesses' ability to borrow and expand in Juba.

Figure 4.2.2 Marital Status of the participants

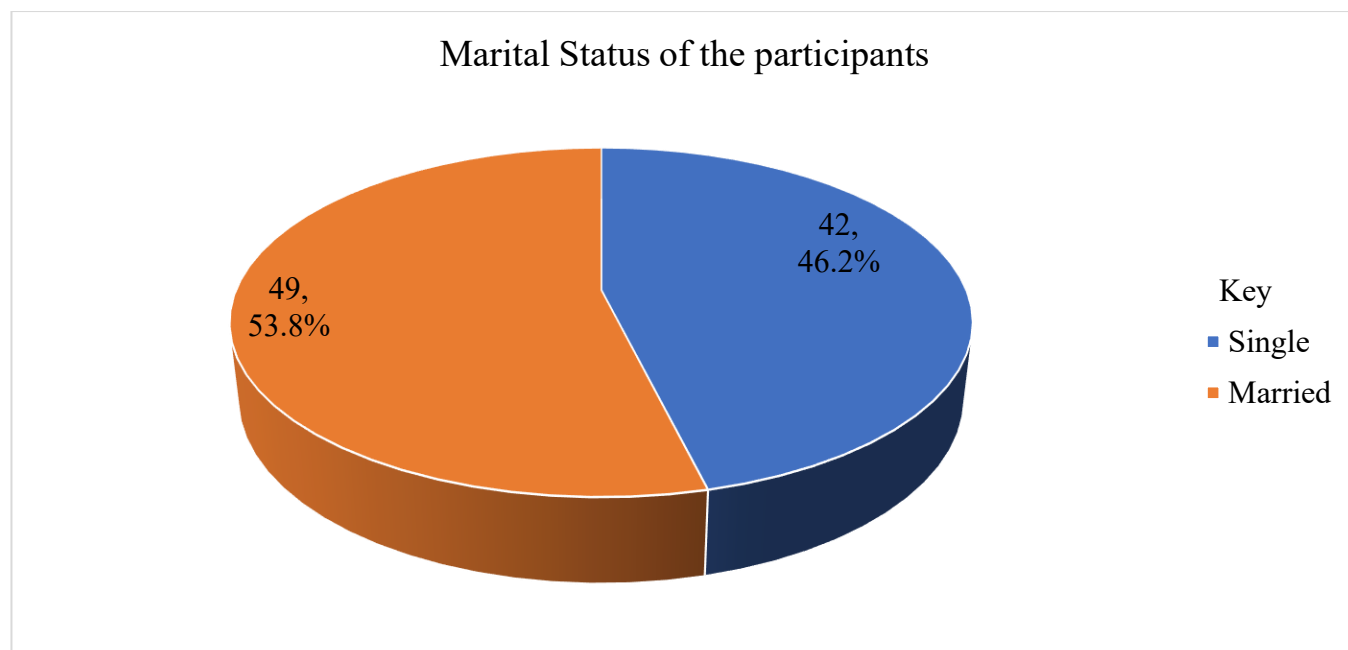


Figure 4.2.3 Shows the marital status of the respondents who took part in the study in Juba. 53.8% of those who participated were married while 46.2% of those who participated were single. Therefore, the study found that most of the participants respondents who participated in the study fall in bracket of married people who have experience in corporate governance has a significant impact on financial performance of petroleum companies as the main target of the research

Figure 4.2.3 Showing the gender of the respondents

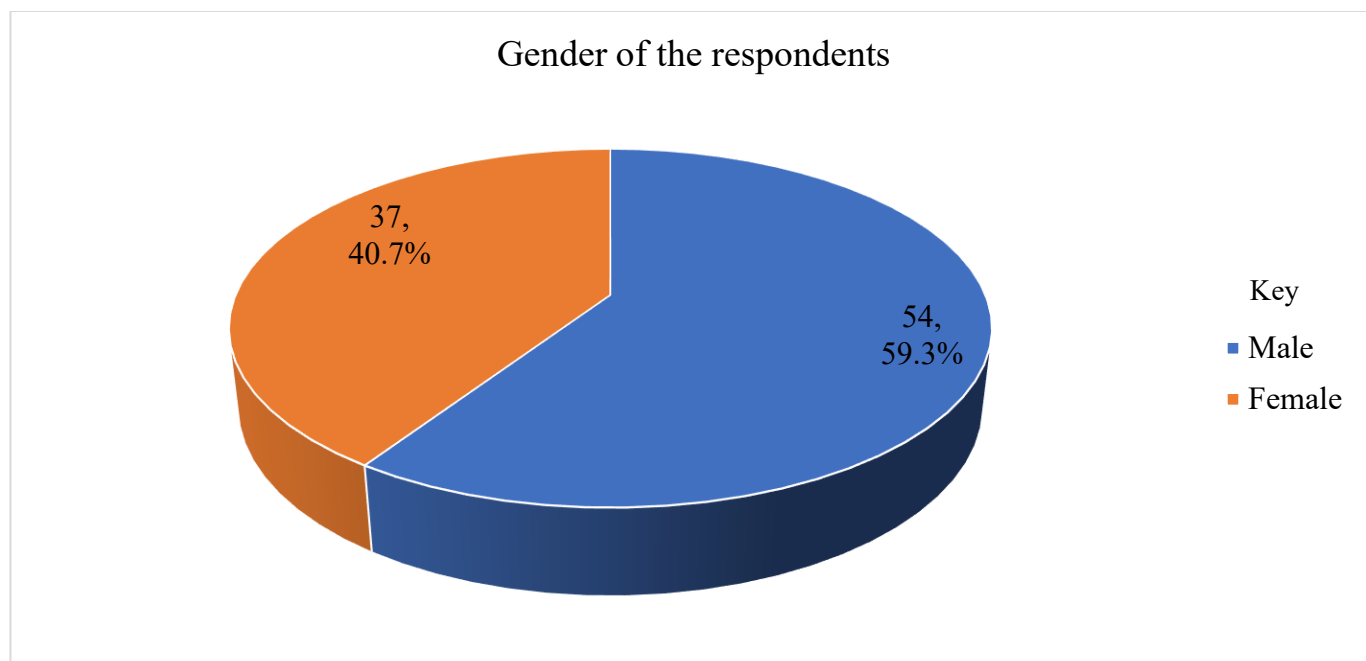


Figure 4.2.3 indicates that 59.3% It was observed that the majority of participants were male and 40.7% The majority of the participants were female all making a total percentage of 100% of the respondents. Based on the analysis, the researcher concluded that, most of the respondents who took part in the study were males with 59.3%, compared to female participants with 40.7%.

Figure 4.2.5 showing the employment level according to the respondents

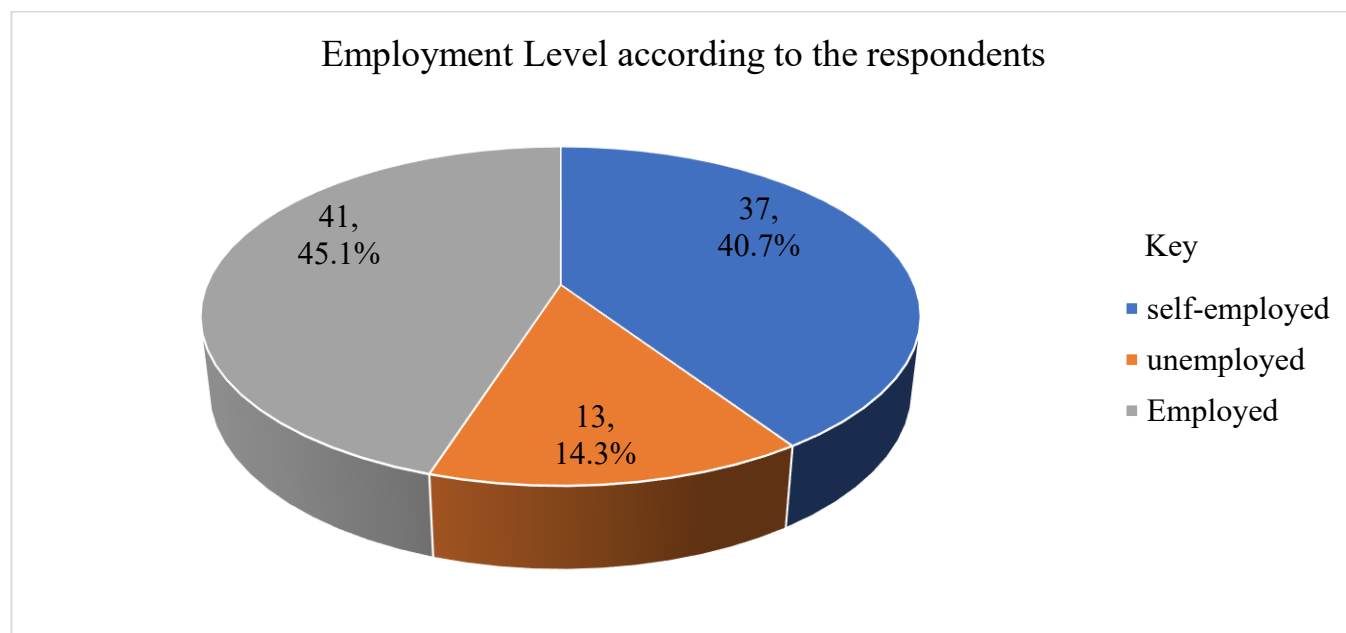


Figure 4.2.5 shows the employment background of the participants who took part in the study study, it shows that 45.1% as reported by the participants were employed, 40.7% were self-employed and 14.3% as reported by the participants were unemployed. Based on the research findings, it was therefore observed that most participants of the participants were employed with 45.1% making it the highest. This is because employed participants are the main target population of the study.

Figure 4.2.6 showing the occupation of the participants

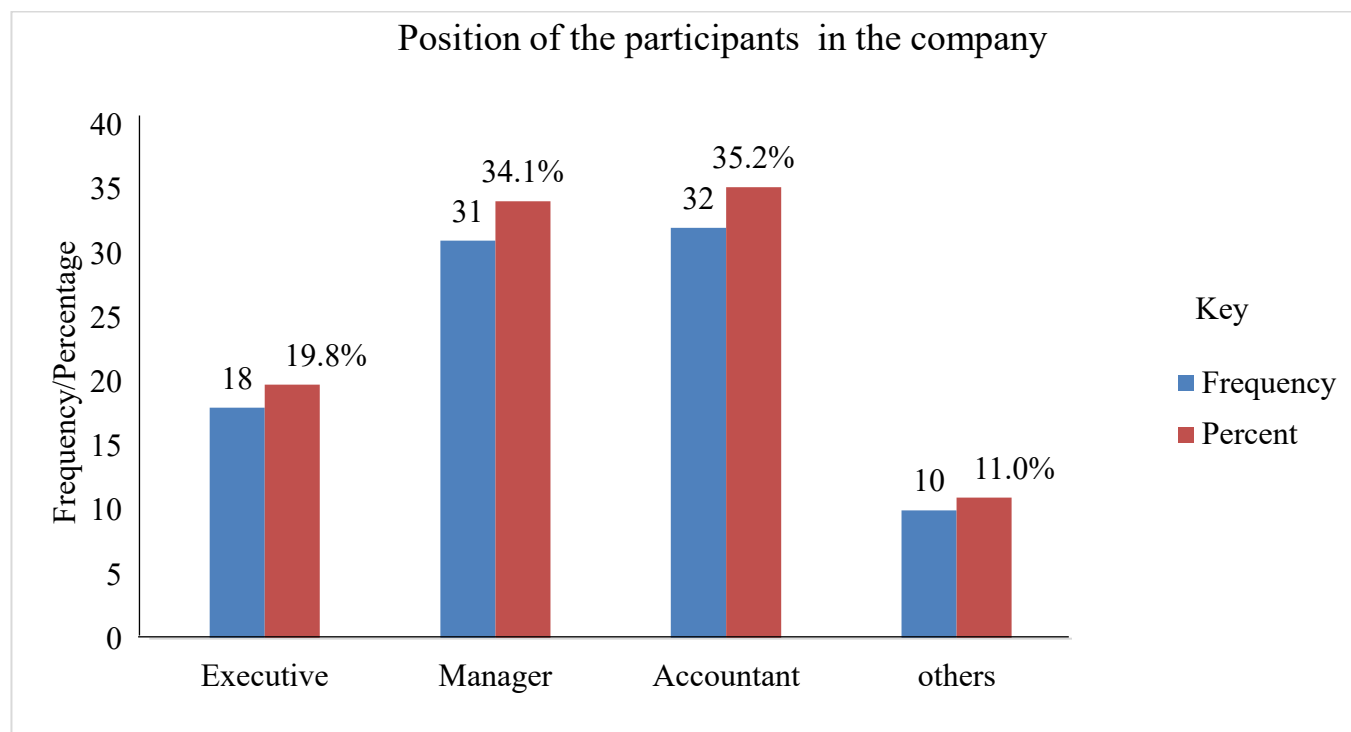


Figure 4.2.6 shows the occupational background of the respondents who participated in the study, it shows that 35.2% of the participants were accountants, 34.1% were managers, 19.8% of the participants were executive managers and 11.0% were others. Based on the research findings, It was therefore observed that most participants of the participants were accountants with 35.2% making it the highest. This is because accountants are the main target population of the study.

Figure 4.2.7 Work Experiences of the Respondents

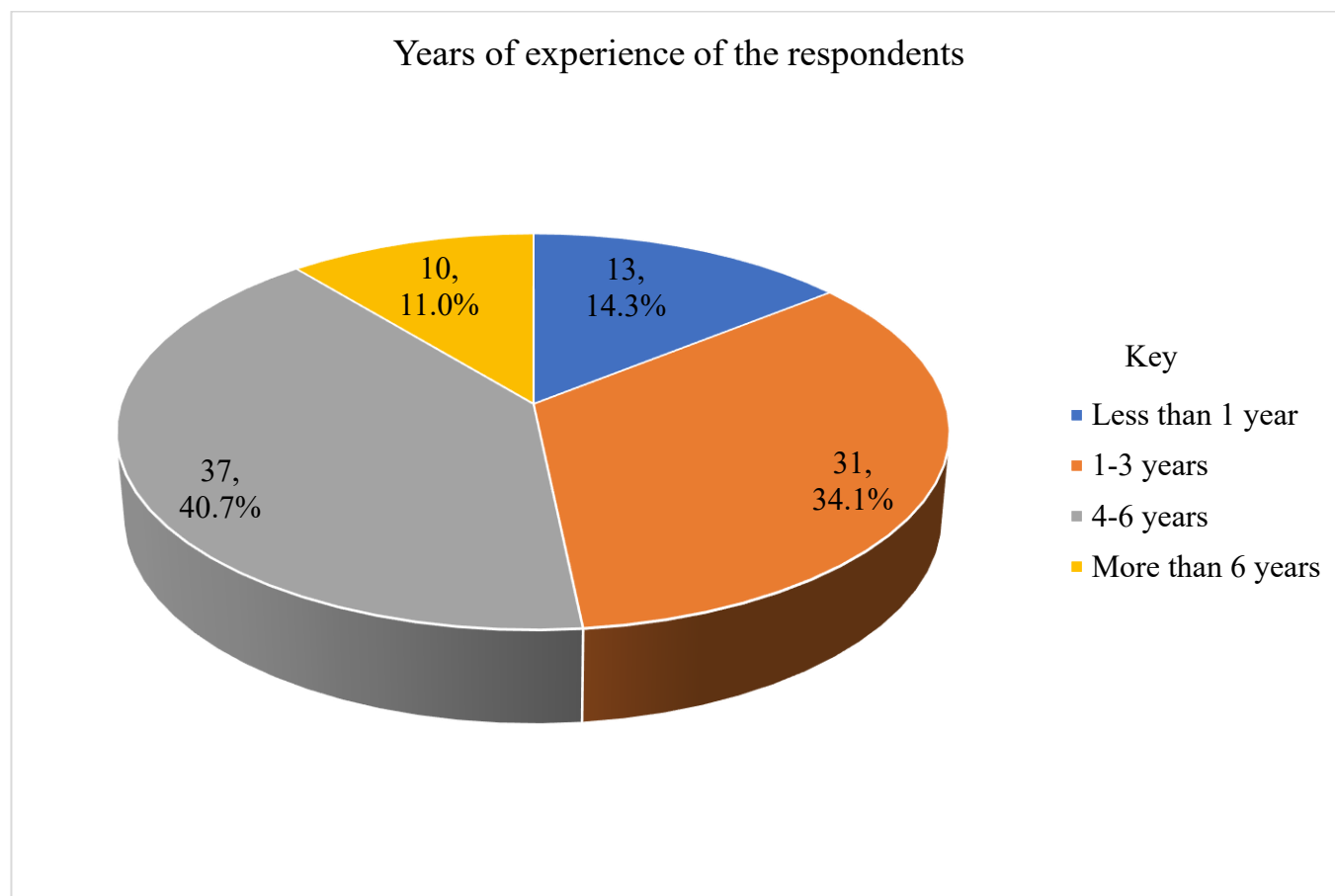


Figure 4.2.7 Shows the work experience of the respondents who participated in the research in Juba City. 40.7% of the respondents had 4-6 years of work experience, 34.1% of the participant with work experience between 1-3 years, 14.3% Some of the participants were less than ... years old one year of work experience and 11.0% of the participants with more than 6 years of work experience. Therefore, it was determined that majority of the respondents who participated as part of the study fall in bracket of 4-6 years of work experience with 40.7% followed by participants between 1-3 years of work experience with 34.1% respectively.

4.3. Discussion of finding according to each research questions

Table 4.3.1 Showing The impact of corporate governance on financial performanc

Response	SA		A		N		D		SD		TOTAL	
	F	%	F	%	F	%	F	%	F	%	F	%
Corporate governance improves financial decision making.	76	84.3	15	15.7	0	0	0	0	0	0	80	100
Board independence enhances financial transparency.	67	75.3	24	24.7	0	0	0	0	0	0	80	100
Good governance leads to increased profitability.	55	61.5	24	27	8	9	0	0	4	4.5	80	100
Poor governance negatively affects financial outcomes.	59	66.3	32	33.7	0	0	0	0	0	0	80	100

Key: 1. Strongly agree (SA) 2. Agree (A) 3. Neutral (N) 4. Disagree (D) and 5. Strongly Disagree (SD)

Table 4.3.1 shown that most of the respondents 84.3% fully agreed that corporate governance improves financial decision making, 75.3% of the respondents stated that Board independence enhances financial transparency., 61.5% of the respondents noted that Good governance leads to increased profitability and finally 66.3% of the respondents noted that Poor governance negatively affects financial outcomes.

Furthermore, a 33-year-old male respondent emphasized that corporate governance poses a significant barrier to Petroleum Company's growth in Juba. He noted that many petroleum company's owners find it difficult to secure affordable financing due to the high inflation which limits their ability to invest in business expansion, purchase stock or upgrade equipment.

Table 4.3.1 Showing Influence on risk management and compliance

Response	SA		A		N		D		SD		TOTAL	
	F	%	F	%	F	%	F	%	F	%	F	%
Governance structures help reduce financial risks.	71	77.5	20	22.5	0	0	0	0	0	0	80	100
Board independence enhances financial transparency.	59	66.3	20	22.5	4	4.5	0	0	0	0	80	100
Good governance leads to increased profitability.	67	73	4	4.5	0	0	20	22.5	0	0	80	100
Weak governance increases operational risk.	59	66.3	32	33.7	0	0	0	0	0	0	80	100

Key: 1. Strongly agree (SA) 2. Agree (A) 3. Neutral (N) 4. Disagree (D) and 5. Strongly Disagree (SD)

Table 4.3.1 shown that most of the respondents 77.5% completely agreed that governance structures help reduce financial risks, 66.3% of the respondents stated that board independence enhances financial transparency, 73% of the respondents noted that Good governance leads to increased profitability and finally 66.3% of the respondents noted that Weak governance increases operational risk.

Furthermore, a 45-year-old male respondent emphasized that corporate governance poses a significant barrier to Petroleum Company's growth in Juba. He noted that many petroleum company's owners find it uncomfortable to secure affordable financing due to the high inflation which limits their ability to invest in business expansion, purchase stock or upgrade equipment.

CHAPTER FIVE

5.0 SUMMARY, CONCLUSIONS AND RECOMMENDATIONS OF THE FINDINGS

5.1 Introduction

This chapter presented a summary of the study's findings, along with the conclusions and recommendations. It also identified areas for further research for scholars interested in the link between corporate governance and financial performance in the petroleum sector.

5.2 Summary of the Findings

This study examined the How corporate governance affects financial performance of petroleum companies in Juba. It was guided by three key research questions such as This study examines the impact of corporate governance practices on the financial performance of businesses petroleum companies in Juba influence on risk management and compliance, the Difficulties in applying corporate governance practices in petroleum firms and the possible solutions to improve corporate governance for better financial outcomes in the sector.

A descriptive survey research design was adopted, incorporating quantitative methods. Primary data were collected using questionnaires from a data of 120 respondents drawn from selected petroleum companies in Juba.

The study revealed that strong corporate governance enhances organizational financial performance characterized by board independence, effective risk management, transparency, and accountability positively influenced financial performance. Companies that adhered to better governance practices reported improved profitability, investor trust, and operational efficiency.

It was additionally observed that petroleum firms in Juba faced several governance-related challenges, including weak internal controls, lack of skilled board members, political interference, and poor stakeholder engagement. These challenges hindered consistent financial performance and created compliance risks.

Lastly, the study identified practical solutions for improving governance and financial performance. These included strengthening board oversight, investing in employee ethics and compliance training, establishing transparent reporting structures, and collaborating with government institutions to enforce governance standards. Encouraging stakeholder participation and integrating digital monitoring tools were also recommended as viable strategies.

5.3 Conclusion

The research showed that strong corporate governance plays an important role in enhancing financial performance of petroleum companies in Juba. Strong governance practices—such as board independence, transparency in financial reporting, stakeholder engagement, and compliance with regulatory frameworks enhanced operational efficiency, investor confidence, and overall profitability, the study further concluded that petroleum companies faced key governance-related challenges, including Poor internal control systems and political interference, lack of board oversight, and limited stakeholder participation. These issues contributed to inefficiencies, reduced financial performance, and increased operational risks.

Additionally, the research concluded that improving corporate governance in the petroleum sector required targeted solutions such as capacity building, adoption of digital compliance systems, government regulatory support, and the creation of internal reporting channels to detect and address unethical practices. Strengthening these governance structures would contribute to more sustainable financial performance and institutional stability in petroleum companies operating in post-conflict environments like Juba.

5.4 Recommendations of the Study to the Government of South Sudan

The study recommended that the government strengthen regulatory enforcement to ensure petroleum companies adhere to established corporate governance standards, particularly in financial reporting and board accountability. It also recommended investing in capacity-building programs targeting governance institutions and regulatory bodies to improve oversight and compliance in the oil and gas sector. The government should promote transparency by encouraging public disclosure of financial performance, audit results, and board activities to boost investor confidence and minimize corruption risks.

5.5 Areas for further studies

The impact of digital banking innovations on access to credit for small scale businesses. The role of financial literacy in improving loan accessibility and repayment among Small and Medium Enterprises (SMEs), and the influence of collateral policies on youth- and women-owned small businesses

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